both inherited securities and purchased securities. Then, we'll look at two common causes of endowment bias.

Inherited Securities

William Samuelson and Richard Zeckhauser[4] performed an enlightening study on endowment bias that aptly illustrates investor susceptibility to this bias. Samuelson and Zeckhauser conducted an experiment in which investors were told to imagine that they had to newly acquire one of four investment options:

1. A moderately risky stock
2. A riskier stock
3. A Treasury security
4. A municipal security

Another group of investors was given the same list of options. However, they were instructed to imagine that they had already inherited one specified item on the list. If desired, the investors were told, they could cede their hypothetical inheritance in favor of a different option and could do so without penalty. In every case, however, the investors in the second group showed a tendency to retain whatever was "inherited." This is a classic case of endowment bias. Most wealth management practitioners have encountered clients who are reluctant to sell securities bequeathed by previous generations. Often, in these situations, investors cite feelings of disloyalty associated with the prospect of selling inherited securities, general uncertainty in determining "the right thing to do," and tax issues.

Purchased Securities

Endowment bias also often influences the value that an investor assigns to a recently purchased security. Here is an example to illustrate this point: Assume that you have a great need for income. How much would you pay for a municipal bond that pays you triple your pretax income? Further assume that you have purchased this bond and that it is performing as expected. Interest rates have not changed, the market for securities is highly liquid, and you have the type of account that offers unlimited transactions for one fee. How much would you demand in exchange for the bond if someone wanted to buy it from you?

Rational economic theories predict that your willingness to pay (WTP) for the bond would equal your willingness to accept (WTA) compensation for it. However, this is unlikely to be the case. Once you are endowed with